Question #1 of 16

Question ID: 1473997

In the presence of return distribution asymmetry and excess kurtosis, the *most* appropriate approach would be to make use of a Monte Carlo simulation using a:

A) F-distribution.

B) normal distribution.

C) skewed Student's *t*-distribution.

Question #2 of 16

Question ID: 1473991

Which of the following metrics are *most likely* to be reported in a backtest of an investment strategy?

A) Enterprise value, volume, and market capitalization.

B) Maximum drawdown, Sharpe ratio, and Sortino ratio.

C) Altman Z-score, Sloan ratio, and Beneish M-score.

Question #3 of 16

Question ID: 1473985

Which of the following statements about backtesting an investment strategy is *least* accurate? Backtesting:

A) ensures that a strategy will perform well in the future.

B) lends rigor to the investment process.

C) approximates the real-life investment process.

Question #4 of 16

Question ID: 1473992

Which of the following identifies problems that are *most likely* to arise in a backtest of an investment strategy?

A) Survivorship bias, look-ahead bias, and data snooping.

B) Including lagged dependent variables as independent variables.

C) Heteroskedasticity, serial correlation, and multicollinearity.

Question #5 of 16

Question ID: 1473993

Which of the following is the *least likely* to result from using information that would have been unavailable at the time of the investment decision?

A) Survivorship bias.

B) Look-ahead bias.

C) Data snooping.

Question #6 of 16

Question ID: 1473987

Which of the following statements about backtesting an investment strategy is *least* accurate? Backtesting:

A) is incompatible with quantitative and systematic investment styles.

B) is based on the implied assumption that the future will somewhat resemble history.

C) can take the randomness of the future into account.

Question #7 of 16

Question ID: 1473986

Which of the following statements about backtesting an investment strategy is *least* accurate? Backtesting is:

A) a new methodology that is slowly gaining acceptance in the investment community.

B) widely used by managers that use a fundamental investment style.

C) useful as a rejection or acceptance criterion for an investment strategy.

Question #8 of 16

Question ID: 1473998

A risk-averse investor is *most likely* to desire which of the following attributes of a multivariate return distribution?

A) Positive skewness.

B) Negative skewness.

C) Excess kurtosis.

Question #9 of 16

Question ID: 1473994

Bill Cassidy, CFA, is the portfolio manager for Applied Logistics pension fund. Cassidy is meeting with Alex Swary, the senior quantitative analyst, to discuss the results of backtesting of a model developed by Swary. The model uses several factors in selecting stocks, including EPS growth over the past year, the industry competitiveness index, and price-to-book ratio. The model makes picks on the first trading day of each calendar year with annual rebalancing.

While evaluating the results of backtesting, Cassidy should be *most likely* concerned with:

A) data snooping bias.

B) survivorship bias.

C) look-ahead bias.

Question #10 of 16

Question ID: 1473995

Which of the following *most accurately* describes a scenario analysis?

A) Backtesting a model for large-cap securities as well as for medium-cap securities.

B) Backtesting a model using U.S. market data as well as using the European market data.

C) Backtesting a model during periods of high volatility and periods of low volatility.

Question #11 of 16

Question ID: 1474000

In conducting a sensitivity analysis, an analyst is *most likely* to take fat tails and negative skewness into account by repeating a Monte Carlo simulation using a multivariate:

A) Bernoulli distribution.

B) normal distribution.

C) skewed Student's *t*-distribution.

Question #12 of 16

Question ID: 1473999

In the historical simulation approach, bootstrapping is *most likely* to be used when:

A) the number of trials is larger than the dataset.

B) zero-coupon rates are available but par yields are unknown.

C) a merger transaction impacts earnings.

Question #13 of 16

Question ID: 1473989

Which of the following *most accurately* describes the steps in backtesting an investment strategy?

A) Strategy design, historical investment simulation, and analysis of output.

B) Obtain estimates of the regression parameters, determine the assumed values of the independent variables, and compute the predicted value of the dependent variable.

C) Conceptualization of the modeling task, data collection, data preparation and wrangling, data exploration, and model training.

Question #14 of 16

Question ID: 1473990

A rolling-window backtesting is *most accurately* described when:

A) repeated sampling from the same data set leads to the use of redundant sources.

B) the out-of-sample data becomes the in-sample data for the subsequent period.

C) a data set is divided into two distinct samples.

Question #15 of 16

Question ID: 1473988

Which of the following *most accurately* describes a step in backtesting an investment strategy?

A) In the “strategy design” step, we form investment portfolios for each period.

B) In the “historical investment simulation” step, we rebalance the portfolio periodically.

C) In the “historical investment simulation” step, we calculate portfolio performance statistics.

Question #16 of 16

Question ID: 1473996

Which of the following is *least likely* an example of historical stress testing?

A) Backtesting the performance of the strategy, assuming that the CBOE VIX Index is greater than 55.

B) Backtesting the performance of the strategy during the great recession, a period following the global financial crisis of 2008.

C) Backtesting the performance of the strategy during the high market return period of 2017–2018.